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# The Graffiti Towers Sale Is Stalled Because the City Sees the Billboard, Not the Building

A distressed LA asset with a \$100M+ billboard. The city wants housing. The buyer wants the sign. The capital structure sits in the middle.

# Kali Chaudhuri's bid for Oceanwide Plaza faces city scrutiny

The buyer offered \$120M for the unfinished towers. The city paused the sale, questioning financing. The real prize: a 50,000-sf LED billboard worth \$10M+ annually.

## SIGNIFICANCE

**This isn't about graffiti. It's about who controls the air rights.**

The billboard is the most valuable asset in the deal. The city sees unfinished housing. The buyer sees a media asset. The tension is between public policy and private capital.

# The capital stack has two very different value layers

The building itself is distressed. The billboard is a cash-flow machine. Lenders care about the sign. The city cares about the structure. The deal only works if both layers align.

## THE REAL QUESTION

# Can a buyer separate the asset from the obligation?

Chaudhuri wants the billboard revenue. The city wants the towers finished. The question: can the capital structure support both? Or does one side have to give?

WHO CARES?

## Three parties with very different incentives

- \* The buyer: wants the billboard cash flow, not the construction risk
- \* The city: wants housing delivered, not a media asset
- \* The lender: wants repayment, likely from the sign's revenue

## MARKET CONTEXT

# **This is part of a larger pattern: assets with hidden value layers**

Distressed deals often have a hidden gem—a lease, a permit, a sign. The capital structure needs to isolate that value. Otherwise, the whole deal stalls.

# Watch for a creative capital solution

The deal may need a split structure: one entity for the billboard, one for the building. Or a mezzanine loan tied to the sign's cash flow. The market will test new tools here.



## THE LESSON

# The best deals solve for all parties' incentives

Light Tower Group helps capital professionals navigate these complex structures. Connect with Benjamin Rohr for capital strategy and placement.